S.No.37

IN THE NATIONAL COMPANY LAW TRIBUNAL
HYDERABAD BENCH – 1

ATTENDANCE CUM ORDER SHEET OF THE HEARING HELD ON
13-05-2022 AT 10:30 A.M. THROUGH VIDEO CONFERENCE

CP(CAA) No. 153/230/HDB/2020
U/s 230 of Companies Act, 2013

IN THE MATTER OF:

Akhila Developers Pvt Ltd **…Petitioner**

Vs.

Akshay Heights Pvt Ltd **…Respondent**

C O R A M:-

DR. VENKATA RAMAKRISHNA BADARINATH NANDULA, HON'BLE MEMBER (JUDICIAL)
SH. VEERA BRAHMA RAO AREKAPUDI, HON'BLE MEMBER (TECHNICAL)

O R D E R

Orders pronounced in CP (CAA) 153/230/HYD/2020. Recorded vide separate sheets. In the result, the Scheme of Amalgamation is hereby sanction as appointed date 01.04.2021, as per the terms and conditions mentioned in the order.

Sd/- Sd/-

MEMBER (T) **MEMBER (J)**

BM

IN THE NATIONAL COMPANY LAW TRIBUNAL
HYDERABAD BENCH, HYDERABAD

CP (CAA)No. 153/230/HDB/2020

Connected with

CA (CAA) NO. 07/230/HDB/2020

U/s 230 to 232 of the Companies Act, 2013

R/w Rule 15(1) of Companies (Compromises, Arrangements And Amalgamations) Rules, 2016.

IN THE MATTER OF

AKHILA DEVELOPERS PRIVATE LIMITED
(FIRST TRANSFEROR COMPANY)

AND

APURVA HOLIDAY HOMES PRIVATE LIMITED
(SECOND TRANSFEROR COMPANY)

AND

NEW ERA HEIGHTS PRIVATE LIMITED
(THIRD TRANSFEROR COMPANY)

AND

SPURTHI HOTELS PRIVATE LIMITED
(FOURTH TRANSFEROR COMPANY)

AND

VYSHNAVI HOLIDAY INN PRIVATE LIMITED
(FIFTH TRANSFEROR COMPANY)

WITH

AKSHAYA HEIGHTS PRIVATE LIMITED
(TRANSFEREE COMPANY)

1. **M/s. Akhila Developers Private Limited**,
   Registered office at 6-3-1219, Begumpet,
   Hyderabad – 500016,
   Telangana .

….Applicant No.1/
Transferor Company No.1

2. **M/s. Apurva Holiday Homes Private Limited**,
   Registered office at 8-2-703,
   Amrutha Valley, Road No. 12,
   Silver Oak, Banjara Hills,
   Hyderabad - 500034,
   Telangana.

….Applicant No.2/
Transferor Company No.2

3. **M/s. New Era Heights Private Limited**,
   Registered office at 6-3-1219,
   Begumpet, Hyderabad - 500016,
   Telangana.

….Applicant No.3/
Transferor Company No.3

4. **M/s. Spurthi Hotels Private Limited**,
   Registered office at 5-9-16,
   Opp: Secretariat, Saifabad,
   Hyderabad - 500063,
   Telangana.

….Applicant No.4/
Transferor Company No.4

5. **M/s. Vyshnavi Holiday Inn Private Limited**,
   Registered office at 6-3-1219, Begumpet,
   Hyderabad - 500016,
   Telangana**.**

….Applicant No.5/
Transferor Company No.5

6. **M/s. Akshaya Heights Private Limited**,
   Registered office at Country Club Kool,
   # 6-3-1219, 5th Floor, Begumpet,
   Hyderabad - 500016,
   Telangana.

….Applicant No.6/
Transferee Company

AND

1. Registrar of Companies, Andhra Pradesh and Telangana
2nd Floor, Corporate Bhawan,
GSI Post, Tattiannaram Nagole, Bandlaguda
Hyderabad - 500 068, Telangana

2. Official Liquidator,
1st Floor, Corporate Bhawan,
GSI Post, Tattiannaram Nagole, Bandlaguda
Hyderabad - 500 068, Telangana

3. Regional Director, South East Region
3rd Floor, Corporate Bhawan,
GSI Post, Tattiannaram Nagole, Bandlaguda
Hyderabad - 500 068, Telangana

4. Office of Dy. Commissioner of Income Tax,
Ward 16(2), I T Tower, Masab Tank, A. C. Guards,
Hyderabad – 500 004

5. Office of Dy. Commissioner of Income Tax,
Ward 10(1), I T Tower, Masab Tank, A. C. Guards,
Hyderabad – 500 004

6. Office of Dy. Commissioner of Income Tax,
Ward 6(4), I T Tower, Masab Tank, A. C. Guards,
Hyderabad – 500 004

7. Office of Dy. Commissioner of Income Tax,
Ward 9(1), I T Tower, Masab Tank, A. C. Guards,
Hyderabad – 500 004

8. Office of Dy. Commissioner of Income Tax,
Ward 17 (4), Signature Towers,
Opp. Botanical Gardens, Kondapur,
Hyderabad – 500 084

9. Office of Dy. Commissioner of Income Tax,
Ward 11 (4), Signature Towers,
Opp. Botanical Gardens, Kondapur,
Hyderabad – 500 084

…. Respondents

DATE OF ORDER: 13.05.2022

***Coram**:*

Hon'ble Dr. N.V.Rama Krishna Badarinath, Member (Judicial)

Hon'ble Shri Veera Brahma Rao Arekapudi, Member (Technical)

Counsels / Parties Present

For the Petitioners : Shri Naresh Kumar Sangam, Advocate.
For the Respondent: Shri Sashi Raj Dara, Joint Director, and representative of Official Liquidator appeared.

PER-BENCH

1. This is a joint company Petition filed under Section 230-232 and other applicable provisions of the Companies Act, 2013, Read with Rule 15(1) of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016 seeking approval for Scheme of Amalgamation (the Scheme for short) so as to be binding on all the shareholders, creditors and employees of the petitioner Companies and all the concerned.

2. The averments made in the application are briefly described as under:

a. The Transferor Company No. 1 viz., Akhila Developers Private Limited (CIN U70102TG2007PTC054834) is a Company incorporated under the provisions of the Companies Act, 1956. The Registered Office of the Transferor Company No.1 is same as mentioned in the causetitle. Certified copy of the Certificate of Incorporation, Memorandum and Articles of Association of the Transferor Company No.1 is annexed to the Application and marked as **Annexure: 1.** The Authorised Share Capital of the Transferor Company No.1 is Rs.1,00,000/- (Rupees One Lakh only) divided into 10,000 (Ten Thousand) Equity Shares of Rs.10/- (Rupees Ten only) each. The Present issued, subscribed and paid up share capital of the Transferor Company No.1 is Rs.1,00,000/- (Rupees One Lakh Only) divided into 10,000 (Ten Thousand) Equity Shares of Rs.10/- (Rupees Ten only) each fully paid-up. Certified copy of the Audited Balance Sheet as on 31.03.2019 of the Transferor Company No. 1 is annexed to the Application and marked as **Annexure: 2**.

Petitioner NO.2/Transferor Company No.2:

b. The Transferor Company No. 2 viz., Apurva Holiday Homes Private Limited (CIN U45400TG2007PTC054832) is a Company incorporated under the provisions of the Companies Act, 1956. The Registered Office of the Transferor Company No.2 is same as mentioned in the cause title. The main objects of the Transferor Company No.2 are to carry on the business of water resorts, midway resorts and holiday camps and to carryon management. Certified copy of the Certificate of Incorporation, Memorandum and Articles of Association of the

Transferor Company No. 2 is annexed to the Application and marked as **Annexure: 3**. The Authorised Share Capital of the Transferor Company No. 2 is Rs.1,00,000/- (Rupees One Lakh only) divided into 10,000 (Ten Thousand) Equity Shares of Rs.10/- (Rupees Ten only) each. The Present issued, subscribed and paid up share capital of the Transferor Company No. 2 is Rs. 1,00,000/- (Rupees One Lakh only) divided into 10,000 (Ten Thousand) Equity Shares of Rs.10/- (Rupees Ten only) each fully paid-up. Certified copy of the Audited Balance Sheet as at 31.03.2019 of the Transferor Company No. 2 is annexed to the Application and marked as **Annexure: 4**.

Petitioner NO.3/Transferor Company No.3:

c. The Transferor Company No. 3 viz., New Era Heights Private Limited (CIN U45400TG2007PTC055311) is a Company incorporated under the provisions of the Companies Act, 1956. The Registered Office of the Transferor Company No.3 is same as mentioned in the cause title. Certified copy of the Certificate of Incorporation, Memorandum and Articles of Association of the Transferor Company No. 3 is annexed to the Application and marked as **Annexure: 5**.

d. The Authorised Share Capital of the Transferor Company No. 3 is Rs.1,00,000/- (Rupees One Lakh only) divided into 10,000 (Ten Thousand) Equity Shares of Rs.10/- (Rupees Ten only) each. The Present issued, subscribed and paid up share capital of the Transferor Company No. 3 is Rs. 1,00,000/- (Rupees One Lakh only) divided into 10,000 (Ten Thousand) Equity Shares of Rs.10/- (Rupees Ten only) each fully paid-up. Certified copy of the Audited Balance Sheet

as at 31.03.2019 of the Transferor Company No. 3 is annexed to the Application and marked as **Annexure: 6**.

Petitioner NO.4/Transferor Company No.4:

e. The Transferor Company No. 4 viz., Spurthi Hotels Private Limited (CIN U55101TG2007PTC054836) is a Company incorporated under the provisions of the Companies Act, 1956. The Registered Office of the Transferor Company No.4 is same as mentioned in the cause title. The main objects of the Transferor Company No.4 are to carry on the business of water resorts, midway resorts and holiday camps and to carryon management. Certified copy of the Certificate of Incorporation, Memorandum and Articles of Association of the Transferor Company No. 4 is annexed to the Application and marked as **Annexure: 7**. The Authorised Share Capital of the Transferor Company No. 4 is Rs.1,00,000/- (Rupees One Lakh only) divided into 10,000 (Ten Thousand) Equity Shares of Rs.10/- (Rupees Ten only) each. The Present issued, subscribed and paid up share capital of the Transferor Company No. 4 is Rs. 1,00,000/- (Rupees One Lakh only) divided into 10,000 (Ten Thousand) Equity Shares of Rs.10/- (Rupees Ten only) each fully paid-up. Certified copy of the Audited Balance Sheet as at 31.03.2019 of the Transferor Company No. 4 is annexed to the Application and marked as **Annexure: 8**.

Petitioner NO.5/Transferor Company No.5:

f. The Transferor Company No. 5 viz., Vyshnavi Holiday Inn Private Limited (CIN U92190TG2007PTC054835) is a Company incorporated under the provisions of the Companies Act, 1956. The Registered Office of the Transferor Company No.5 is same as

mentioned in the cause title. The main objects of the Transferor Company No.5 is to carry on the business of water resorts, midway resorts and holiday camps and to carryon management. Certified copy of the Certificate of Incorporation, Memorandum and Articles of Association of the Transferor Company No. 5 is annexed to the Application and marked as **Annexure: 9.** The Authorised Share Capital of the Transferor Company No. 5 is Rs.1,00,000/- (Rupees One Lakh only) divided into 10,000 (Ten Thousand) Equity Shares of Rs.10/- (Rupees Ten only) each. The Present issued, subscribed and paid up share capital of the Transferor Company No. 5 is Rs. 1,00,000/- (Rupees One Lakh only) divided into 10,000 (Ten Thousand) Equity Shares of Rs.10/- (Rupees Ten only) each fully paid-up. Certified copy of the Audited Balance Sheet as at 31.03.2019 of the Transferor Company No. 5 is annexed to the Application and marked as **Annexure: 10**.

Petitioner No.6/Transferee Company:

g. The Transferee Company viz., Akshaya Heights Private Limited (CIN U70102TG2007PTC054833) is a Company incorporated under the provisions of the Companies Act, 1956. The Registered Office of the Transferee Company is same as mentioned in the cause title. Certified copy of the Certificate of Incorporation, Memorandum and Articles of Association of the Transferee Company is annexed to the Application and marked as **Annexure: 11**.The Authorised Share Capital of the Transferee Company is Rs.25,00,000/- (Rupees Twenty Five Lakhs only) divided into 2,50,000 (Two Lakhs Fifty Thousand) Equity Shares of Rs.10/- (Rupees Ten only) each. The Present issued, subscribed and paid up share capital of the Transferee Company is

Rs.8,00,000/- (Rupees Eight Lakhs Only) divided into 80,000 (Eighty Thousand) Equity Shares of Rs.10/- (Rupees Ten only) each fully paid-up. Certified copy of the Audited Balance Sheet as at 31.03.2019 of the Transferee Company is annexed to the Application and marked as **Annexure: 12**.

3. The Board of Directors of the Petitioner Companies vide their resolution dated 18th October, 2019 have approved the Scheme of Amalgamation. Transferor Companies submit that the said Scheme of Amalgamation contemplates the Amalgamation of Transferor Companies into Transferee Company with the appointed date being 01.04.2019. The Certified copy of the resolutions passed at the respective meetings of the Board of Directors of the Petitioner Companies approving the scheme the Scheme of Amalgamation are annexed to the Application and marked as **Annexure: 14.**

4. **RATIONALE AND BENEFITS OF THE SCHEME:**

As the rational and objects of the Scheme of Amalgamation are same, hence are shown under same head as under:

(i) The amalgamation would result in better and efficient utilization of resources of the Transferor Companies and Transferee Company, reduction in overheads and other expenses resulting in synergy of operations and economies of scale and create a stronger base for future growth of the amalgamated entity.

(ii) To have better administrative and managerial control for the management, as the merger of the Company would ensure synergy in administration and management.

(iii) The Transferee Company will derive and avail the benefits of assets and reserves of the Transferor Companies, thereby increasing its

financial strength and the ability to make larger investments and help in expeditious and economical implementation of its proposed projects thereby enhancing the value of its business and asset base to result in maximization of shareholders wealth.

(iv) The Transferee Company will have an improved capital structure, which would enable it to access the Capital Market at better terms and will afford easier access to other resources and at a lower cost.

(v) The proposed Amalgamation in general will have beneficial results for the Company, their shareholders, employees and all concerned.

In view of the above rationale, the Board of Directors of the respective companies involved in the Amalgamation thought it fit to amalgamate the Transferor Companies into the Transferee Company.

5. COMPLIANCE OF ACCOUNTING STANDARD AND VALUATION REPORT

The Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standards prescribed under Section 133. Copies of the Auditor Certificate under Section 133 of the Companies Act, 2013 are enclosed to the Application as Annexure **– 16**.

It is averred that no consideration shall be payable either through issue of shares or otherwise as all the shares of the Transferor Companies are held by the Transferee Company only. Under the proposed Scheme of Amalgamation, all the Shares held by the Transferee Company in the Transferor Companies will get cancelled on the Amalgamation becoming effective by operation of law.

6. DECLARATION BY THE PETITIONER COMPANIES

It is further averred that there is no petition under Sections 397 or 398 of the Companies Act, 1956 or Section 241 to 244 of the Companies Act, 2013 has been filed against the Petitioner Companies and there has been no material change in the affairs of the Petitioner Companies, except for what was done in the normal course of business. There are no proceedings pending under Section 235 to 251 of the Companies Act, 1956 or under Section 210 to 227 of the Companies Act, 2013 against the Petitioner Companies.

7. It has been submitted that the Petitioner Companies had jointly filed an application CA (CAA) No. 7/230/HDB/2020 wherein this Hon'ble Tribunal vide order dated 10.01.2020 dispensed with the conducting of meetings of equity shareholders, secured creditors and unsecured creditors of the petitioner Companies. Copy of Order of Hon'ble Tribunal is annexed to the petition as **Annexure 15.**

8. It is submitted that the Tribunal vide order dated 04.03.2020 ordered notices with regard to Registrar of Companies, Regional Director, Official Liquidator, concerned Income Tax Authorities, and to order publication. Subsequently notices were issued to the Registrar of Companies, Hyderabad; the Regional Director, South Eastern Region, Hyderabad; Official Liquidator for State of Telangana; Income Tax Officer, Ward-17(1), Hyderabad; Deputy Commissioner of Income Tax, Circle-1(1), Hyderabad, Deputy Commissioner of Income Tax, Circle-5(1), Hyderabad. It has been submitted that the Petitioner Companies as per the order of this Hon'ble Tribunal dated 04.03.2020 publication had been carried out in English Newspaper i.e. The Business Standard and Telugu Newspaper i.e. Andhra Bhoomi on 19.03.2020. The proof of publication and proof of service of notice of hearing was filed by an Affidavit dated 16.10.2020.

9. The Regional Director vide his report dated 01.02.2022, has not objected to the proposed Scheme but has made certain observations. The Petitioner Companies have filed affidavit dated 22.02.2022, in response to the observations made by the Regional Director, South East Region, Ministry of Corporate Affairs, Hyderabad where under the Petitioner Companies gave undertaking to appropriately comply with the observations made by R.D. The details are given below.

Observations of Regional Director	**Reply of the Petitioner Companies by way of affidavit dated 26.10.2021**
PARA 3 (a-c) Hon'ble Tribunal may please to direct the Petitioner Companies to change the appointed date and also the Clause 13.1 and 19 and file amended copy of the Scheme which is duly certified by the Directors of the Petitioner Companies.	The petitioner Companies undertakes to change the Appointed date from 01.04.2019 to 01.04.2021 and also the Clause 13.1 and 19 in the Scheme. Amended Scheme of Amalgamation duly certified by the Directors of the Petitioner Companies is annexed as **Annexure-A**.
PARA 3 d Hon'ble Tribunal may direct the Petitioner Companies to obtain NOC from the creditors if there is any change in the list of creditors as on date.	It is submitted that there is no change in the list of creditors as on date and hence no need to obtain fresh NOC from the existing creditors. Copy of the certificates issued by Chartered Accountants evidencing that there is no change in list of creditors of the Transferor Company and change in

	list of creditor of the transferee company are enclosed as **Annexure-B**.
PARA 3(e-g) Hon'ble Tribunal may please to direct the Petitioner Companies to preserve the books, comply with statutory laws, file Inc-28 with the Registrar of Companies.	The Petitioner Companies undertake to comply with all the Applicable provisions and rules under the Companies Act, 2013.
PARA 4 Hon'ble Tribunal may please to direct the petitioner companies to comply with the observations pointed out vide para 22 (a)-(f) by the official liquidator.	It is submitted by the petitioner companies that reply affidavit with respect to the observations of Official Liquidator has been filed separately.
PARA 5 The Regional Director in the said report has indicated that no report in the matter has been received by him from the Commissioner of Income Tax, Hyderabad	

10. Further report has been filed by the Regional Director dated 08.04.2022 stating that the reply affidavit filed by the petitioner companies have been examined and it is submitted that Hon'ble NCLT may consider the same as deemed fit and proper in the circumstances.

11. **OFFICIAL LIQUIDATOR'S REPORT:**

The Official Liquidator has filed his report, vide OLR No. 1/2022 dated 04.01.2022 stating certain observations at point no.22 (a)-(f) of his report. The observations pointed out has been replied by the petitioner companies vide affidavit dated 22.02.2022 are mentioned against each.

Observations of OL	**Reply by way of Affidavit**
22 (a): Hon'ble Tribunal may be pleased to direct the petitioner Companies to change the appointed date to the latest date and revise the Scheme accordingly.	Petitioner Companies undertakes to change the appointed date from 01.04.2019 to 01.04.2021 and amended scheme of amalgamation is filed as **Annexure-A.**
22(b) Hon'ble Tribunal may direct the petitioner Companies to submit an undertaking that there would be no retrenchment of any employee who were in service as on Appointed date.	Petitioner Companies undertakes that it will not retrench any employee who were in service as on appointed date.

Thereafter, Official Liquidator has filed his final report vide OLR No.16/2022 in the Tribunal dated 02.03.2022 stating no further observations in this matter. Hon'ble Tribunal may decide the matter on merits.

12. **OBSERVATION**

We have heard the Learned Counsel appearing for the Petitioner Companies and perused the material papers on record. As regards to the observations pointed out by the Regional Director and compliance filed by the petitioner company, it appears that petitioner Companies under take to comply the necessary observations whenever required. The Official liquidator had also raised certain observations for which the Petitioner Companies filed its reply by way of Affidavit. After hearing the Counsel for the Petitioner Companies and considering the material on record, we are of the view that scheme is not opposed to public interest and the proposed Scheme is in the interests of the Transferor Company, the Transferee Company and their respective shareholders, employees, creditors and all persons concerned. Hence the scheme can be approved with Appointed date as 01.04.2021.

All the statutory compliances have been made under Section 230 to 232 of the Companies Act, 2013. Hence ordered.

13. **ORDER**

After hearing the Counsel for the Petitioner Companies and after considering the material on record, this Tribunal passed the following order:

A. The amended Scheme of Amalgamation is hereby sanctioned with appointed date as 01.04.2021 and shall be binding on all the members, employees, creditors and all other stakeholders of the Petitioner Companies.

B. While Approving the Scheme, we made it clear that this order should not be construed as an order in anyway granting exemption from payment of Stamp Duty, taxes or any other charges, if any, payable in accordance with law or in respect of any permission/compliance with any other requirement which may be specially required under any law.

C. The whole of the assets, property, rights and Liabilities of the Transferor Company shall be transferred without the requirement of any further act or deed to the Petitioner/Transferee Company.

D. We direct the Petitioner companies to comply with all the observations pointed out by the Regional Director and Official Liquidator as detailed in paragraphs 9 and 11 mentioned above.

E. We direct the Petitioner Companies to preserve the books of accounts and papers and records and the same shall not be disposed of without the prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013.

F. We direct the Petitioner Companies to ensure statutory compliance of all applicable laws and also on sanctioning of the present Scheme the Petitioner Companies shall not be absolved for any of theirs statutory liability in any manner.

G. All the legal proceedings pending by or against the Transferor Company shall be continued by or against the Transferee Company.

H. Though no representation has been received from the Income Tax Authorities despite service of notice by the Petitioner Companies, the tax implications, if any, arising out of the scheme is subject to final decision of Tax Authorities concerned and the decision of the Tax Authorities concerned shall be binding on the Transferee Company.

I. The Petitioner Companies are directed to strictly comply with the Accounting Treatment Standards prescribed under Section 133 of the Companies Act, 2013.

J. The sanction of the Scheme by this Tribunal shall not forbid the revenue authority from taking appropriate recourse for recovering the existing and previous tax liabilities of the Transferor and Transferee Companies.

K. We direct the Transferee Company to comply with the provisions of Section 2 (41) of the Companies Act, 2013.

L. The Transferor Company shall be dissolved without going through the process of winding up.

M. The Petitioner Companies shall until the completion of the Scheme of Amalgamation, file a statement in such form and within such time as prescribed with the Registrar every year duly certified by a Chartered Accountant or a Cost Accountant or a Company Secretary to the effect that the Scheme of Amalgamation is being complied with in accordance with the orders of the Tribunal as required under Section 232 (7) of the Companies Act, 2013.

N. We direct the Petitioner Companies involved in the Scheme to comply with Rule 17 (2) of the Companies (Compromise, Arrangement and Amalgamation) Rules, 2013. The Petitioner Companies within 30 days after the date of receipt of certified copy of the order, shall cause certified copy to be delivered in Form INC-28 to the Registrar of Companies concerned for registration and on such certified copy being delivered, Registrar of Companies concerned shall take all necessary consequential action in respect of the Petitioner Companies.

O. The Petitioner Companies is further directed to take all consequential and statutory steps required in pursuance of the approved Scheme of merger under the provisions of the Companies Act, 2013 and submit necessary compliance and undertaking relating to the objections raised by the Regional Director (SER), MCA, GoI, Hyderabad.

P. The Petitioner Companies is directed to issue newspaper publication with respect to approval of Scheme of merger, in the same newspapers in which previous publications were issued.

Q. Any person shall be at the liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

R. Accordingly the CP (CAA) **153/230/HDB/2020** is hereby allowed and disposed of.

Sd/- Sd/-

Veera Brahma Rao Arekapudi **Dr.N.V.RamakrishnaBadarinath**

Member (Technical) **Member (Judicial)**

Pavani